the increase in money supply.

2. Cost Push Inflation

Price rise due to increased input costs like raw material, wages, profit margin, etc., is called cost push inflation.

Both demand pull inflation and cost push inflation are affected by forces of demand and supply. They are discussed below.

Factors Affecting Demand

a. Increase in Money Supply

Increase in money supply leads to price rise. More money available with people induces people to purchase more goods and services. It means there is an increase in demand. So, prices move upward.

For example, consider a person who goes to the market with more money and another one person with less money on a particular day. The former may buy more goods than the latter. Likewise, if all people have more money, all may purchase more goods. It leads to price rise in the market.

b. Increase in Disposable Income

The increase in the disposable income leads to higher spending on the part of households. It hikes the level of price.

c. Cheap Monetary Policy

Cheap monetary policy refers to loan availability at very low interest rates and at easy terms. It leads to more investment by investors with loaned money. It pushes up the demand for